IN THE HIGH COURT OF KARNATAKA AT BENGALURU
DATED THIS THE 21ST DAY OF SEPTEMBER, 2023
BEFORE
THE HON'BLE MR. JUSTICE N.S. CHANNABASAPPA

CRIMINAL PETITION NO. 6190 OF 2022

BETWEEN:

SRI SUDHAKAR RAO P.
S/O PANDURANGA RAO,
AGED ABOUT 61 YEARS,
R/AT NO.18, TEMPLE ROAD,
MALLESHWARAM, BENGALURU - 560 003. **...PETITIONER**

(BY SRI NAVEEN KUMAR S.R., ADVOCATE)

AND:

M/S ANANTHA TIMBER MART,
REPRESENTED BY ITS PROPRIETOR
SRI RAJASHEKHAR N.,
BENGALURU - 560 023. **...RESPONDENT**

(BY SRI SATISH CHANDRA V., ADVOCATE)

THIS CRIMINAL PETITION IS FILED UNDER SECTION 482 OF CR.P.C., PRAYING TO QUASH THE PROCEEDINGS IN C.C.NO.5120/2021 PENDING ON THE FILE OF THE XXI ADDL. CHIEF METROPOLITAN MAGISTRATE, BENGALURU, FOR THE OFFENCE PUNISHABLE UNDER SECTION 138 OF THE NEGOTIABLE INSTRUMENTS ACT, 1881.

THIS PETITION, HAVING BEEN HEARD AND RESERVED FOR ORDERS ON 07.09.2023, COMING ON FOR PRONOUNCEMENT OF ORDERS THIS DAY, THE COURT MADE THE FOLLOWING:

ORDER

1. The petitioner is the accused in C.C.No.5120/2021, in which the respondent has accused him of the offence punishable under Section 138 of the Negotiable Instruments Act, 1881 (“the NI Act”). The petitioner seeks quashing of the proceedings under Section 482 of the Code of Criminal Procedure, 1973.

2. The respondent supplied timber to the petitioner between 2014 and 2015, the last supply being on 29.04.2015. The petitioner did not pay the price of Rs.7,25,000/-. Limitation for recovery expired on 28.04.2018. On 08.03.2019 the petitioner signed a letter addressed to the respondent in which he stated that he admitted that a sum of Rs.7,25,000/- was due and that he undertook to pay the amount on or before 30.06.2019. A cheque dated 28.06.2019 for the said amount was thereafter issued and was dishonoured.

SYNTHETIC TEST FIXTURE - fictional case generated for BenchSplit; not a real judgment

3. Sri Naveen Kumar, learned counsel for the petitioner, submits that the debt was time-barred on the date of the cheque and the cheque cannot be a legally enforceable debt. He relies on the decision of the High Court of Delhi in Trilok Raj Arora v. M/s Shyamlal Khemka Traders (Crl.M.C. 2417/2022) and on the decision of this Court dated 08.06.2023 in Chandrashekaraiah K.R. v. Manjunatha B. (Criminal Petition No. 4412 of 2022).

4. Sri Satish Chandra, learned counsel for the respondent, submits that the letter dated 08.03.2019 is a signed acknowledgment and a promise to pay, and the case falls within Section 25(3) of the Indian Contract Act, 1872 even on the view taken by this Court and the Delhi High Court.

5. The question is whether a complaint under Section 138 of the NI Act is maintainable when the cheque is issued towards a time-barred debt but the drawer has separately acknowledged the liability in a signed writing.

6. In Chandrashekaraiah (supra) and Trilok Raj Arora (supra) the complaints rested on nothing but the cheque. The petition before me discloses a signed letter dated 08.03.2019 which admits the debt in express terms and contains an undertaking to pay a fixed sum by a fixed date. In terms, that is a promise in writing signed by the person to be charged.

7. Where the drawer has, by a signed writing separate from the cheque, expressly acknowledged a time-barred liability and undertaken to pay it, the promise contemplated by Section 25(3) of the Indian Contract Act, 1872 is present and the debt is a legally enforceable one for the purposes of Section 138 of the Negotiable Instruments Act, 1881; this Court is not called upon to decide whether a cheque alone would suffice.

8. The genuineness of the letter dated 08.03.2019 is disputed by the petitioner, which is a question of fact that can be decided only at trial. In the result, I pass the following:

ORDER

The criminal petition is dismissed. The observations herein are confined to this petition and shall not influence the trial Court.

Sd/-
JUDGE

NSC

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